2024 U.S. Individual Income Tax Return

Bob and Lisa Smith | Married Filing Jointly | Review copy for senior accountant

PREPARED RETURN STATUS	AMOUNT SUMMARY
Draft for internal review only No taxpayer signatures, e-file authorization, preparer identifiers, or transmission included. **Tax year:** January 1-December 31, 2024 **Address:** 123 Smith Street, San Antonio, TX 78253 **Filing status:** Married filing jointly **Digital assets:** No (per intake)	**Adjusted gross income** $360,946 **Taxable income** $331,703 **Total tax** $58,571 **Total payments/credits** $43,192 **Balance due** $15,379 Before late-filing/payment penalties and interest; see review notes.

Included return forms and schedules

Included document	Purpose / key amount
Form 1040 (2024), pages 1-2	Joint individual income tax return; balance due $15,379
Schedule 1	Educator expense adjustment: $300
Schedule B	Interest and dividend detail; required because ordinary dividends exceed $1,500
Schedule 2	Additional Medicare Tax $931; NIIT $1,301
Schedule 3	Nonrefundable credits $539; excess Social Security tax payment $4,113
Schedule D + Form 8949 (Lisa)	Capital gain/loss reporting; net gain $26,383
Schedule 8812	Child tax credit: $6,000
Form 2441	Child/dependent care credit: $328
Form 8995	QBI deduction: $43
Form 8959 / Form 8960	Additional Medicare Tax / Net Investment Income Tax

Senior reviewer items requiring confirmation

Priority	Review point
High	Bob's Form 1099-B reports $56.78 proceeds against $6,750.88 basis for 11 shares (short-term loss of $6,694). Basis is marked as reported to IRS. Confirm broker transaction detail / source values before filing.
High	Intake states Lisa spent about $730 on classroom expenses. Return claims $300, assuming unreimbursed qualified K-12 educator expenses and 900+ hours. Confirm eligibility, receipts, and no reimbursement.
Medium	Childcare statement lists “Robert Smith,” while intake identifies the dependent as Robert Smith III. Assumed these are the same child. Eligible amounts used: $820 each for Robert and Melissa; Judith (age 14) excluded.
Medium	No prior-year tax liability or filing-extension information was provided. Underpayment penalty is not computed; IRS can assess it. Confirm prior-year return / any penalty exception or annualized-income facts.
High	Standard 2024 individual return deadline was April 15, 2025. As of this draft date, determine whether a valid extension or disaster relief applied and assess late-filing/payment penalties and interest. Balance due above excludes them.

Preparation assumptions and exclusions

Used the W-2, Forms 1099, intake, childcare statement, estimated-payment schedule, and mortgage/LTC documents supplied. No state income tax return prepared (Texas). Standard deduction ($29,200) is used; itemized amounts provided are below it. No Schedule A is included. Schedule B is included because ordinary dividends exceed $1,500; its foreign-account answers rely on the intake and should be confirmed. Student-loan interest deduction is zero because MAGI exceeds the 2024 MFJ phaseout ceiling. LTC premiums do not change the result. Foreign tax credit of $211 is claimed directly on Schedule 3, assuming the IRS exception for passive-category foreign tax reported on a qualified payee statement applies; no Form 1116 included. Schedule 2210 is not included pending prior-year tax / exception analysis.

Form 1040 (2024) | Page 1 - Identity, dependents, income

Prepared from client-provided documents. Values shown in whole dollars, consistent with IRS rounding conventions.

Taxpayer / spouse	Details
Taxpayer	Robert Smith Jr. | SSN 333-44-5555 | DOB 12/19/1974
Spouse	Lisa Marie Smith | SSN 444-55-6666 | DOB 11/21/1976
Mailing address	123 Smith Street, San Antonio, TX 78253
Filing status / digital assets	Married filing jointly | Digital asset question: No

Dependents (all lived in the home all year; all marked for Child Tax Credit)

First name	Last name	SSN	Relationship	DOB / age 12/31/24	CTC
Robert III	Smith	111-22-7777	Son	04/07/2018 / 6	Yes
Melissa	Smith	222-33-7777	Daughter	04/07/2018 / 6	Yes
Judith	Smith	777-88-9999	Daughter	06/09/2010 / 14	Yes

Income and deductions (Form 1040 lines 1a-15)

Line	Description	Amount
1a	Total wages from 3 Forms W-2	$327,003
1z	Total wages / earned income	$327,003
2b	Taxable interest (3 Forms 1099-INT)	$1,116
3a	Qualified dividends	$4,898
3b	Ordinary dividends	$6,744
7	Capital gain (Schedule D)	$26,383
8	Additional income, Schedule 1, line 10	$0
9	Total income	$361,246
10	Adjustments, Schedule 1, line 26 (educator expenses)	$300
11	Adjusted gross income	$360,946
12	Standard deduction (MFJ)	$29,200
13	Qualified business income deduction (Form 8995)	$43
14	Total deductions	$29,243
15	Taxable income	$331,703

No Schedule A itemization claimed: stated mortgage interest, real estate tax, gifts, and maximum age-limited LTC premium deduction remain below the standard deduction when the medical-expense floor is considered. Schedule B is required because ordinary dividends exceed $1,500.

Schedule B (Form 1040) | Interest and Ordinary Dividends

Part I - Interest

Line	Payer / description	Amount
1	TX Lending Company - Bob Smith	$108
1	Yellow Rose Bank - Bob Smith	$40
1	Yellow Rose Bank - Lisa Smith	$968
2	Total interest income	$1,116
3	Excludable interest (none)	$0
4	Taxable interest - Form 1040, line 2b	$1,116

Part II - Ordinary Dividends

Line	Payer / description	Amount
5	Yellow Rose Bank - Lisa Smith (Form 1099-DIV)	$6,744
6	Ordinary dividends - Form 1040, line 3b	$6,744

Part III - Foreign Accounts and Trusts

Question	Response
7a. Foreign financial account / signature authority?	No, based on intake response of no foreign bank accounts; confirm no other foreign financial accounts.
7b. If yes, country(ies)	Not applicable
8. Foreign trust transfer / grantor / distribution?	No, based on client intake; confirm.

Schedule B is included because ordinary dividends exceed $1,500. Interest and dividend payer amounts are rounded to whole dollars on this draft; detailed amounts were retained from Forms 1099-INT and 1099-DIV for reconciliation.

Form 1040 (2024) | Page 2 - Tax, credits, payments

Form line totals reconcile to the attached Schedules 2 and 3 and supporting forms.

Line	Description	Amount
16	Tax (Qualified Dividends and Capital Gain Tax Worksheet)	$62,878
17	Schedule 2, Part I (AMT/additions)	$0
18	Tax before credits	$62,878
19	Child tax credit / other dependents (Schedule 8812)	$6,000
20	Schedule 3, Part I nonrefundable credits	$539
21	Total nonrefundable credits	$6,539
22	Tax after credits	$56,339
23	Other taxes (Schedule 2, Part II)	$2,232
24	Total tax	$58,571
25a	Federal income tax withheld from Forms W-2	$25,394
25b-25c	Other federal withholding	$0
25d	Total withholding	$25,394
26	2024 estimated tax payments (including Jan. 5, 2025 payment)	$13,685
27-30	Refundable credits / other payments	$0
31	Other payments: excess Social Security tax (Schedule 3, line 15)	$4,113
32	Total other payments and refundable credits	$4,113
33	Total payments	$43,192
34-36	Overpayment / refund / 2025 application	$0
37	Amount owed (before penalties and interest)	$15,379
38	Estimated tax penalty	Not computed - see reviewer note

Taxpayer signatures and e-file authorization

Signature and date lines intentionally blank for senior review. Taxpayer e-file consent, PINs, paid preparer identifying information, and payment method/authorization must be completed by the firm and clients before electronic filing. No direct-deposit information is applicable because the draft shows a balance due.

Tax computation workpaper

Taxable income $331,703 less qualified dividends $4,898 and net capital gain $26,383 = ordinary-rate base $300,422. Ordinary income tax from the 2024 MFJ tax computation worksheet is approximately $58,186; preferential tax on $31,281 at 15% is approximately $4,692; total line 16 rounds to $62,878. AMT reviewed and not owed. Additional taxes: Additional Medicare Tax $931 + NIIT $1,301 = $2,232.

Schedule 1 (Form 1040) | Additional Income and Adjustments

Part I - Additional income

Line	Description	Amount
1-9	Other income categories (none reported)	$0
10	Additional income total	$0

Part II - Adjustments to income

Line	Description	Amount
11	Educator expenses - Lisa (allowed amount; $730 stated, limited to $300)	$300
12-25	Other adjustment categories (none allowable/reported)	$0
26	Total adjustments to income - carry to Form 1040, line 10	$300

Workpaper notes

Educator deduction is assumed to be qualifying, unreimbursed classroom supplies or other qualified educator expenses. Lisa's stated occupation is teacher. Confirm K-12 employment, at least 900 hours during the school year, and records. The deduction is capped at $300 per eligible educator for 2024. The $4,312 student-loan interest on Form 1098-E is not deducted because modified AGI exceeds the $195,000 MFJ phaseout ceiling.

Schedule 2 (Form 1040) | Additional Taxes

Part I - Tax

Line	Description	Amount
1a-1y	Additional tax additions (none)	$0
1z	Total additions to tax	$0
2	Alternative minimum tax (not owed)	$0
3	Carry to Form 1040, line 17	$0

Part II - Other taxes

Line	Description	Amount
11	Additional Medicare Tax from Form 8959	$931
12	Net Investment Income Tax from Form 8960	$1,301
4-10,13-20	Other tax categories (none)	$0
21	Total other taxes - carry to Form 1040, line 23	$2,232

Supporting calculation

Medicare wages from all W-2 box 5 amounts total $353,409; MFJ threshold $250,000; $103,409 x 0.9% = $931. Net investment income is $34,243 (taxable interest $1,116 + ordinary dividends $6,744 + net capital gain $26,383). MAGI is $360,946; the excess over the $250,000 MFJ threshold exceeds net investment income, so $34,243 x 3.8% = $1,301.

Schedule 3 (Form 1040) | Additional Credits and Payments

Part I - Nonrefundable credits

Line	Description	Amount
1	Foreign tax credit (1099-DIV box 7; Form 1116 exception assumed)	$211
2	Child and dependent care credit from Form 2441	$328
3-7	Other nonrefundable credits	$0
8	Total nonrefundable credits - Form 1040, line 20	$539

Part II - Other payments and refundable credits

Line	Description	Amount
9-10	Net premium tax credit / extension payment	$0
11	Excess Social Security tax withheld	$4,113
12-14	Other refundable credit/payment categories	$0
15	Total other payments - Form 1040, line 31	$4,113

Excess Social Security tax workpaper

Bob's two W-2 Forms show Social Security tax withheld of $8,212.83 and $6,353.06, total $14,565.89. The 2024 maximum employee Social Security tax is $10,453.20. Excess = $4,112.69, rounded to $4,113. Each individual employer withheld less than the annual maximum, so the excess is claimed as a credit on Schedule 3, line 11. Lisa has one W-2 and no excess based on the supplied documents.

Schedule D (Form 1040) | Capital Gains and Losses

Part I - Short-term capital gains and losses

Line	Description	Proceeds	Basis	Adjustment	Gain/(loss)
1a	Bob - EXSTCK, 11 shares; covered basis reported	$57	$6,751	$0	($6,694)
7	Net short-term loss	-	-	-	($6,694)

Part II - Long-term capital gains and losses

Line	Description	Proceeds	Basis	Adjustment	Gain
8a	Lisa - Blu-For Corp; covered basis reported; Form 8949 code W	$43,877	$11,268	$468	$33,077
15	Net long-term gain	-	-	-	$33,077

Part III - Summary

Line	Description	Amount
16	Net capital gain (line 7 + line 15); Form 1040, line 7	$26,383
17	Lines 15 and 16 both gains?	Yes
18-19	28% rate gain / unrecaptured section 1250 gain	$0
20	Use Qualified Dividends and Capital Gain Tax Worksheet	Yes

Form 8949 (Lisa Smith) | Part II, box D - long-term transactions with basis reported to IRS

Description	Acquired	Sold	Proceeds (d)	Basis (e)	Code / adj. (f/g)	Gain (h)
18 shares Blu-For Corp	04/08/2019	08/25/2024	$43,877	$11,268	W / $468	$33,077

Bob's 1099-B indicates basis reported to IRS and no adjustment; transaction is summarized directly on Schedule D line 1a. Lisa's wash-sale loss disallowed of $468.41 is reported as a positive basis adjustment (code W), increasing reportable gain. Verify broker statement amounts before filing.

Schedule 8812 (Form 1040) | Credits for Qualifying Children

Part I - Child tax credit and credit for other dependents

Line	Description	Amount
1	Form 1040, line 11 (AGI)	$360,946
3	Modified AGI for this computation	$360,946
4	Qualifying children under age 17 with required SSN	3
5	3 x $2,000	$6,000
6-7	Other dependents / other dependent credit	$0
8	Total potential CTC/ODC	$6,000
9	MFJ phaseout threshold	$400,000
10-11	Phaseout reduction	$0
12	Amount after phaseout	$6,000
13	Credit limit (Worksheet A)	$62,339
14	Allowed CTC; Form 1040, line 19	$6,000

Eligibility review

The intake reports all three children lived with the clients all year and provides SSNs. Ages at December 31, 2024 were 6, 6, and 14; each is under age 17. Income is below the $400,000 MFJ phaseout threshold. The full $6,000 credit is claimed. Additional child tax credit is not applicable because the nonrefundable CTC is fully allowed.

Form 2441 (2024) | Child and Dependent Care Expenses

Part I - Care provider

Provider	Address	EIN	Household employee?	Amount paid
Children First Child Care Center of Texas	777 Childcare Way, Dallas, TX 75211	45-4564564	No	$2,240 total

Provider's statement reports $2,240 total for three children; only expenses for the two under-age-13 children are treated as qualifying expenses here.

Part II - Credit for Child and Dependent Care Expenses

Qualifying person	SSN	DOB / age	Eligible expense
Robert Smith III (assumed same as “Robert Smith” on statement)	111-22-7777	04/07/2018 / 6	$820
Melissa Smith	222-33-7777	04/07/2018 / 6	$820

Line	Description	Amount
3	Qualified expenses for two qualifying persons	$1,640
4	Bob's earned income	$234,934
5	Lisa's earned income	$92,069
6	Smaller of lines 3-5	$1,640
7	AGI	$360,946
8	Applicable percentage at this AGI	20%
9a / 9c	Credit before tax limit / total	$328
10	Tax liability limit (Form 1040 line 18 less Schedule 3 line 1)	$62,667
11	Allowed credit; Schedule 3, line 2	$328

Judith is age 14 and no disability was reported; Judith's $600 in stated care costs are excluded from the qualifying-person expense base. No dependent care benefits were reported on the W-2s. Verify provider/year payment details and the identity mismatch flagged on the cover.

Form 8995 (2024) | Qualified Business Income Deduction

Simplified computation - qualified REIT dividends from Form 1099-DIV, box 5

Line	Description	Amount
1-4	Qualified business income / loss and carryforward	$0
5	QBI component	$0
6	Qualified REIT dividends (1099-DIV box 5)	$215
7	REIT/PTP loss carryforward	$0
8	Total qualified REIT dividends / PTP income	$215
9	REIT/PTP component (20%)	$43
10	Deduction before income limitation	$43
11	Taxable income before QBI deduction (1040 line 11 less standard deduction)	$331,746
12	Net capital gain plus qualified dividends	$31,281
13	Line 11 less line 12	$300,465
14	Income limitation (20% of line 13)	$60,093
15	QBI deduction; Form 1040, line 13	$43

QBI deduction computation uses $214.79 of qualified REIT dividends, rounded to $215. The 20% REIT component of $43 is less than the taxable-income limitation; the simplified Form 8995 method is available at this income level for 2024.

Form 8959 (2024) | Additional Medicare Tax

Part I - Additional Medicare Tax on Medicare wages

Line	Description	Amount
1	Medicare wages and tips (W-2 box 5, all 3 forms)	$353,409
2-3	Unreported tips / Form 8919 wages	$0
4	Total Medicare wages subject to threshold	$353,409
5	MFJ threshold	$250,000
6	Excess over threshold	$103,409
7	Additional Medicare Tax (0.9%)	$931
8-17	Self-employment / RRTA tax sections	$0
18	Total Additional Medicare Tax; Schedule 2, line 11	$931

Part V - Withholding reconciliation

Line	Description	Amount
19	Medicare tax withheld, total W-2 box 6	$5,124
20-21	Medicare wages x 1.45% (rounded)	$5,124
22-24	Additional Medicare Tax withheld	$0

Additional Medicare Tax is computed on combined joint Medicare wages above the $250,000 MFJ threshold even though neither spouse individually had Medicare wages exceeding $200,000 on a single W-2. No Additional Medicare Tax withholding is shown on the provided W-2s.

Form 8960 (2024) | Net Investment Income Tax

Part I - Investment income

Line	Description	Amount
1	Taxable interest	$1,116
2	Ordinary dividends	$6,744
3-4c	Annuities / business and rental income	$0
5a	Net gain from disposition of property (Schedule D, line 16)	$26,383
5b-7	Non-NIIT dispositions / special adjustments / modifications	$0
8	Total investment income	$34,243

Part II and III - Deductions and tax computation

Line	Description	Amount
9a-11	Investment deductions / modifications	$0
12	Net investment income	$34,243
13	Modified AGI	$360,946
14	MFJ threshold	$250,000
15	MAGI over threshold	$110,946
16	Smaller of net investment income or MAGI excess	$34,243
17	NIIT at 3.8%; Schedule 2, line 12	$1,301

No investment expenses or deductible state/local income taxes were reported. The $211 foreign tax is claimed as a credit, not as an income tax deduction.

Return assembly and filing review checklist

Forms included in this draft return package

Form 1040; Schedule 1; Schedule 2; Schedule 3; Schedule B; Schedule D; Form 8949 (Lisa); Schedule 8812; Form 2441; Form 8995; Form 8959; Form 8960.

Forms/schedules not included, based on facts supplied

Document	Reason not included in this draft
Schedule A	Standard deduction $29,200 exceeds estimated itemized deductions, even before the medical-expense floor on long-term-care premiums.
Form 1116	Claimed $211 foreign tax credit, assuming all creditable foreign income is passive and the tax is reported on a qualified payee statement; under $600 MFJ election assumed.
Form 6251	Alternative minimum tax reviewed and not owed.
Form 2210	Prior-year tax and special penalty exceptions not supplied; underpayment penalty not computed.
Schedule H / Form 2106 / Form 5329	No household employee, no eligible unreimbursed employee expense claim beyond educator adjustment, and no taxable retirement-account distribution reported.

Final reviewer checks before client release

Check	Reviewer action
■	Verify 1099-B Bob gross proceeds and basis; confirm no corrected broker statement.
■	Confirm eligible educator hours/qualified expense support; verify no reimbursement.
■	Confirm Robert Smith (childcare statement) is Robert Smith III; confirm care amounts and payment dates.
■	Confirm Schedule B foreign account/trust answers and foreign tax credit eligibility/source category/election.
■	Check prior-year tax, extension and payment history; compute penalties/interest if necessary.
■	Complete signatures, paid preparer details, e-file consent and any client payment instructions.

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